



**PIVOTBOSS
MASTERS**

CORE TRADE MGMT

**BASIC PROFESSIONAL
TRADE MANAGEMENT**

BASIC TRADE MANAGEMENT



Professional traders rely on various scaling techniques to manage risk and offer flexibility while managing a trade. It is essential that you master these scaling techniques, as they provide a solid foundation for managing risk in a professional manner, and also get you into the habit of booking consistent profits.

BASIC TRADE MANAGEMENT



Basic Professional Trade Management Strategies

2-Part Management Strategies

- 11 Scaling Technique
 - Scale 1 Unit at T1 (1/2)
 - Scale 1 Unit at T2 (1/2)
- 21 Scaling Technique
 - Scale 2 Units at T1 (2/3)
 - Scale 1 Unit at T2 (1/3)

3-Part Management Strategies

- 111 Scaling Technique
 - Scale 1 Unit at T1 (1/3)
 - Scale 1 Unit at T2 (1/3)
 - Scale 1 Unit at T3 (1/3)
- 211 Scaling Technique
 - Scale 2 Units at T1 (1/2)
 - Scale 1 Unit at T2 (1/4)
 - Scale 1 Unit at T3 (1/4)

*Each Unit contains the same number of user-defined contracts/shares

BASIC TRADE MANAGEMENT



2-Part Management: 11 Scaling Technique

11 Scaling Technique

Scale 1 Unit at T1
Scale 1 Unit at T2

The 11 Scaling Technique is designed to completely remove risk upon reaching your pre-defined first target (T1), thereby allowing you to manage a runner without emotion.

- Designed to completely remove risk upon reaching your first target
- Designed to remove the emotion from trading
- Great all-purpose trade management strategy
- Designed to inspire confidence
- Perfect for traders struggling with consistency; novice traders
- Great strategy to use when trading poorly
- AKA the Free Trade Technique

BASIC TRADE MANAGEMENT



2-Part Management: 11 Scaling Technique

11 Scaling Technique

Scale 1 Unit at T1
Scale 1 Unit at T2

1. Starting position must be divisible by two. At least two contracts are required to use this strategy.
2. The price differential between the Stop and the Entry should equal the distance between the Entry and T1
3. If the Stop is hit before T1, exit the position with a loss. If T1 is hit before the Stop, exit 1/2 of the position, and leave the Stop in place for the last 1/2, giving you a breakeven position.
4. If T2 is hit before the Stop, exit the position with a profit. If the Stop is hit before T2, exit the trade with a breakeven result.

2-Part Management: 11 Scaling Technique



2-Part Management: 11 Scaling Technique



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2-Part Management: 21 Scaling Technique

21 Scaling Technique

Scale 2 Units at T1
Scale 1 Unit at T2

The 21 Scaling Technique is designed to guarantee a profit upon reaching the first target (T1), thereby allowing you to manage a runner without emotion.

- Guarantees a profitable outcome upon reaching the first target
- Designed to remove the emotion from trading
- Great for higher risk scenarios
- Designed to inspire confidence
- Perfect for traders struggling with consistency
- Great strategy to use when trading poorly

BASIC TRADE MANAGEMENT



2-Part Management: 21 Scaling Technique

21 Scaling Technique

Scale 2 Units at T1
Scale 1 Unit at T2

1. Starting position must be divisible by three. At least three contracts are required to use this strategy.
2. The price differential between the Stop and the Entry should equal the distance between the Entry and T1
3. If the Stop is hit before T1, exit the position with a loss. If T1 is hit before the Stop, exit 2/3 of the position, and leave the Stop in place for the last 1/3, which gives you a guaranteed profit.
4. If T2 is hit before the Stop, exit the position with a profit. If the Stop is hit before T2, exit the trade, also with a profit.

2-Part Management: 21 Scaling Technique



2-Part Management: 21 Scaling Technique



BASIC TRADE MANAGEMENT



3-Part Management: 111 Scaling Technique

111 Scaling Technique

Scale 1 Unit at T1
Scale 1 Unit at T2
Scale 1 Unit at T3

The 111 Scaling Technique is designed to completely remove risk upon reaching the first target (T1), and also provides advanced traders with flexibility when using discretion.

- Designed to completely remove risk upon reaching your first target
- Designed to remove the emotion from trading
- Great all-purpose trade management strategy
- Designed to inspire confidence
- Perfect for traders struggling with consistency
- Great strategy to use when trading poorly
- A strategy of choice by many professional traders

BASIC TRADE MANAGEMENT



3-Part Management: 111 Scaling Technique

111 Scaling Technique

Scale 1 Unit at T1

Scale 1 Unit at T2

Scale 1 Unit at T3/Runner

1. Starting position must be divisible by three. At least three contracts are required to use this strategy.
2. The price differential between the Stop and the Entry should equal the distance between the Entry and T1
3. If the Stop is hit before T1, exit the position with a loss. If T1 is hit before the Stop, exit 1/3 of the position, leave the Stop in place for a 1/3, and move a stop to the Entry for a 1/3. This guarantees a breakeven result even if all stops are hit.
4. If T2 is hit before the Stop at the Entry, exit 1/3 of the position, and either leave your Stop where it is on the last 1/3, or move it to the Entry.
5. Scale 1/3 at T3, or keep it as a runner.

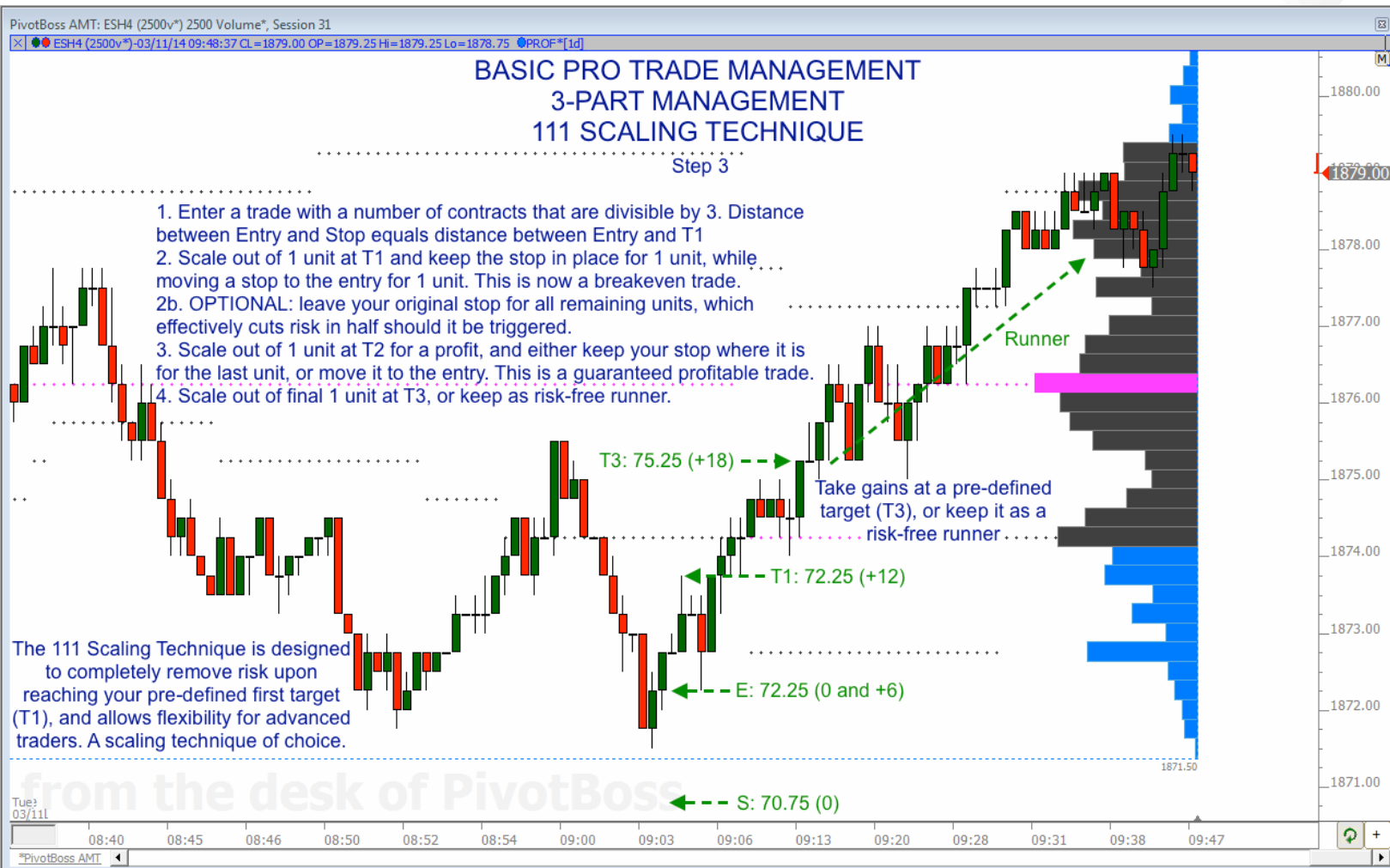
3-Part Management: 111 Scaling Technique



3-Part Management: 111 Scaling Technique



3-Part Management: 111 Scaling Technique



BASIC TRADE MANAGEMENT



3-Part Management: 211 Scaling Technique

211 Scaling Technique

Scale 2 Units at T1
Scale 1 Unit at T2
Scale 1 Unit at T3/Runner

The 211 Scaling Technique is designed to guarantee a profit upon reaching the first target (T1), and also provides advanced traders with flexibility when using discretion.

- Guarantees a profitable outcome upon reaching the first target
- Designed to remove the emotion from trading
- Great all-purpose trade management strategy
- Designed to inspire confidence
- Perfect for traders struggling with consistency
- Great strategy to use when trading poorly
- A strategy of choice by many professional traders

BASIC TRADE MANAGEMENT



3-Part Management: 211 Scaling Technique

211 Scaling Technique

Scale 2 Units at T1
Scale 1 Unit at T2
Scale 1 Unit at T3/Runner

1. Starting position must be divisible by four. At least four contracts are required to use this strategy.
2. The price differential between the Entry and T1 should be half of the distance from the Entry to the Stop
3. If the Stop is hit before T1, exit the position with a loss. If T1 is hit before the Stop, exit 1/2 of the position, leave the Stop in place for a 1/4, and move a stop to the Entry for a 1/4. This guarantees a breakeven result even if all stops are hit.
4. If T2 is hit before the Stop at the Entry, exit 1/4 of the position, and either leave your Stop where it is on the last 1/4, or move it to the Entry.
5. Scale 1/4 at T3, or keep it as a runner.

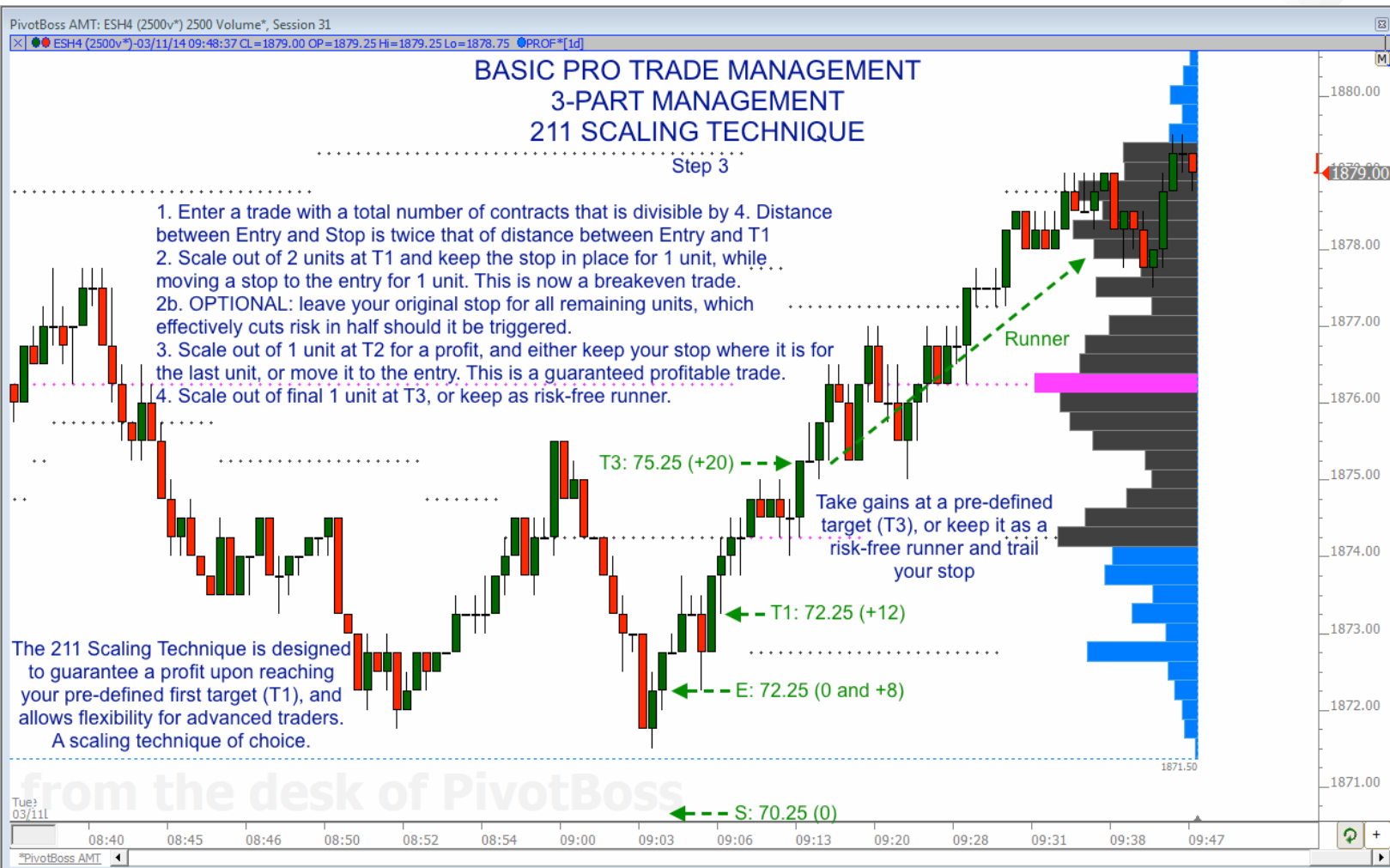
3-Part Management: 211 Scaling Technique



3-Part Management: 211 Scaling Technique



3-Part Management: 211 Scaling Technique



BASIC TRADE MANAGEMENT



Scaling is Scalable:

The secret to making more money is increasing size once you've mastered your preferred trade management scaling technique.

Rather than trying to hit home runs every trade to make big money, increase your size once you've mastered picking up smaller winners.

Example: If you are consistently making money trading the 111 Scaling Approach, increase the size of the contracts within each unit to increase profit potential:

111 Scaling Approach (using +1, +2, +3 ES points for targets)

1 contract per unit: $50/100/150 = +300$

3 contracts per unit: $150/300/450 = +900$

5 contracts per unit: $250/500/750 = +1500$



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